

Compliance Necessities for Crypto Startups

What's in the data room when you exit



— THE FRAME

10x cheaper on day one
than the week before
you sign.

Six necessities I'll find in the first afternoon if they're missing — a seventh for decentralized projects — and what each one costs you.

01

Know your perimeter

What you are — and where you're allowed to offer it.

DAY ONE

Say in one sentence what you are — and where your users actually sit.

IN THE DATA ROOM

They price the markets you reached, not the one you're based in.

02

Safeguard client assets

If you hold it, it isn't yours — prove it's all there.

DAY ONE

Segregate client funds, control the keys, reconcile to one-to-one backing.

IN THE DATA ROOM

Where are the client assets — and can you prove they're all there?

03

Product governance

Every launch passes a gate — before it ships.

DAY ONE

A product-approval gate every new feature, asset or market passes before launch.

IN THE DATA ROOM

"Show me how you decide to launch something" — assessments and sign-offs on file.

04

Financial-crime basics

AML, KYC, sanctions — the baseline, done for real.

DAY ONE

Policy + MLRO, KYC at onboarding, monitoring, sanctions screening, SAR process.

IN THE DATA ROOM

A policy written for the sale, or one sanctioned user — either reprices the deal.

05

Say only what you can legally say

Your old marketing is discoverable.

DAY ONE

Risk warnings, no guaranteed-return claims, jurisdiction-specific promo rules.

IN THE DATA ROOM

A tweet you deleted two years ago is still discoverable — and inherited.

06

Keep the receipts

Can you produce it — and is it current?

DAY ONE

Retention, GDPR-grade privacy, and terms that match what the product does.

IN THE DATA ROOM

Half of diligence is one question: can you produce it?

07

Decentralized? Prove it.

Or ring-fence what you can't exempt.

DAY ONE

Keep the protocol autonomous; ring-fence the interface, fees and marketing.

IN THE DATA ROOM

"Show me you can't touch user funds"
— or you're an unlicensed operator.

— THE TAKEAWAY

Built in. Not bolted on.

Treat compliance as a product feature from day one — the same way you treat security or UX.